# GMS WEEKLY

Your Source for Recycling News

May 16th, 2025
*Week 20*
Volume 272, Issue 1185


***Highlights:***

- **Backlog beaching.**
- **Only HKC.**
- **Yard shortage.**
- **2nd half supply.**
- **One month away.**
- **Scan to download / view the Weekly on the GMS App!**

QUOTE of the WEEK

**"What is harder than rock, or softer than water?**
**Yet soft water hollows out hard rock. Persevere."**

*– Ovid*

## -- MARKET COMMENTARY --

### SUDDEN SPEED?!?

As the fragile India – Pakistan ceasefire continues to barely hold at the seams with sporadic instances of violence reportedly erupting along the Line of Control (LoC), PM Modi reassures the nation that Operation Sindoor is still very much in play as Indian Forces continue to target terrorists within Pakistan Occupied Kashmir, killing the mastermind behind reporter Daniel Pearl's tragic execution about 24 years ago, Israel simultaneously ramps up its attacks against Hamas as plans to re-occupy Gaza make the rounds again, and finally Ukraine and Russia continue to hammer each other amidst a growing controversy of arms and military aircraft exports to Ukraine from the EU, further raising the specter of a wider conflict between the nations, the world seems to have suddenly picked up speed for all of the wrong reasons over the last few weeks.

All while President Trump visits the Middle East and accepts planes as gifts while complaining to senior staff about Congressional restrictions blocking such favors, world economies are meanwhile having a hell of a rollercoaster ride with freight markets surging 6% by close of Friday and were essentially propelled by higher rates across all trading segments. The 90-day tariff truce between China and the U.S. also saw crude futures climb 1.4% and end the week at USD 62.5/barrel, as global trade starts to stabilize to global post-tariff conundrums despite lingering uncertainties around the Iran Nuclear deal, which, if successful, could see an additional 200,000 barrels of oil enter the market, placing further uncertainty on oil markets and trade planning.

Shifting from global economic chains to the ship recycling markets also saw the U.S. Dollar surge against nearly all ship recycling nation currencies (except China) this week, whilst steel plate prices firm / decline / flatline in a series of confusing signals to ship recyclers and the industry at large. The recent trimming of tonnage at the bidding tables also seems to be easing as local port positions in both India and Bangladesh reported a healthy collection of arrivals and deliveries this week. In Bangladesh, the recent backlog of vessels idling outside, awaiting their respective NOCs that built up across April also saw several deliveries ensue this week as exemptions came through from the ministry to recently approved HKC yards, all while a series of units committed to non-certified yards still remain stranded outside port limits.

Pending HKC upgrades aside, markets overall feel like the they have been cornered as diminished pricing and confusing fundamentals have left sentiments uncertain and demand anemic. With HKC hurdles shifting the recent focus of vessels to the more active Indian (or non-HKC Pakistani) markets, unfolding economic constraints stand to pressure prices down even as freight markets start to settle, charter rates start to climb, and the supply of candidates may start to increase through the second half of the year despite a traditionally slower and quieter monsoon season, thanks to trading opportunities for increasingly overaged units finally starting to disappear and these units should start truckling to recycling facilities at their end of their charters, after what has been a few years of buoyant freight markets across the board.

**GMS demo rankings / pricing for week 20 of 2025 are on Page 5.**

# BANGLADESH

## REGULATORY RED TAPE!

*7 yards so far.*

With only 7 HKC certified yards open and currently buying vessels in Bangladesh, local offerings have conveniently cooled over the last couple of weeks as owners of the only operating yards with HKC approvals start to exploit the unfolding situation, resulting in recently proposed units for sale increasingly focusing on neighboring Indian and Pakistani markets. A few more local yards have reportedly completed their second audits with IRS class and are expected to receive their respective HKC certifications within the next few week(s). However, it seems destined to be a longer wait for a handful of yards that currently lag behind the necessary rate of infrastructure upgrades required ahead of yard visits from local authorities, and for their subsequent HKC certifications to come through. As it therefore stands, regulatory red tape will increasingly holding up local deliveries and fixtures and until these new regulations are ironed out and in force until more yards are approved, Bangladesh will be a difficult delivery destination for owners and cash buyers alike.

*Audits underway.*

And the situation for non-HKC ship recyclers who are unable to import tonnage may ironically be well-timed given the performance of current fundamentals as not only are competing local HKC recyclers lowering their offers in the face of firming steel plate prices that jumped nearly USD 90/Ton over recent weeks and remain flatlined in the face of missing trade between Bangladeshi steel mills and local recycling yards given that recycling tonnage itself has been missing for the last 6 weeks, but the Bangladeshi Taka also fell nearly 30 basis points to end the week at BDT 121.82 against the U.S. Dollar, all while the Central Bank of Bangladesh announced its decision to let the market determine the rate of the U.S. Dollar, as required by the terms of the current IMF loan agreement and this could result in further volatility from the Taka, as well as deterioration of local sentiment.

*Difficult destination.*

DOmestic banks are also becoming increasingly stringent as a growing series of new demands from authorities whilst transacting L/Cs is causing a fresh batch of frustrations for local recyclers, local agents, cash buyers, and ship owners, as new-fangled documentary requirements are causing delays in inward clearing vessels, releasing L/Cs, and onto their eventual deliveries that is resulting in further unexpected expenses. Adding to local frustrations has also been a diminished level of demand from domestic steel mills that is likely to get worse once the rains come pouring down.

*Quieter May / June.*

Finally, as the interim government announces a few ambitious projects this week, these have come far too little too late and much to the disappointment of the general public given that the optimism and idealism initially displayed by the interim government is slowly disappearing and the same old formula of corruption through mega projects is reportedly rearing its head again. Until the new budget is announced and fresh elections earmark political stability in the region once again, Bangladesh is likely to spend a quieter May / June than previously anticipated.

**NO MARKET SALES REPORTED**

# INDIA

## TENSIONS COOL!

*Ceasefire.*

The fragile ceasefire between India and Pakistan this week has seen tensions cool between the two nuclear nations even though sporadic instances of small arms fire at the Line of Control has continued. Moreover, as the nation as a whole remains disappointed at the restricted response from the Indian army after decades of terrorist attacks, PM Modi re-assured the nation that Operation Sindoor has merely been paused but is not completed. What this means for the future of the conflict remains to be seen, especially as Indian Special Forces reportedly took out senior terrorist leaders in various locations in Pakistan occupied Kashmir (PoK) this week, which could well see the conflict be inflamed in the near future once again.

*Refocus.*

As such, focus has understandably been diverted away from recycling markets in recent times with the armed-conflict between the perennially warring neighbours taking centre stage for the nation at large. But armed conflict isn't India's only issue as tariffs and trade wars have seen the Rupee start to plummet once again as it fell nearly 35 basis points to end the week at Rs. 85.66, but even local steel plate prices dropped by about USD 2/Ton as the week ended, placing further downward pressures on an already feeble sentiment that has seen local offerings retreat and move India into 3rd place on the market rankings. Ironically however, Alang's waterfront reported far more arrivals and deliveries than Gadani this week as 6 ships and nearly 33K LDT had arrived / was delivered to local recyclers, including a large(r) LDT Pax vessel.

*WTO threat.*

At the macro end of India's economic overview, its performance was just as mixed as India's ship recycling sector as on the one hand, India's forex reserves continue to increase as they surged past USD 690 billion this week on the back of firming domestic auto sales, the U.N. unfortunately downgraded India's FY 2025 GDP growth outlook as unemployment remains stagnant and wholesale price index hit a 13-month low last month. Moreover, as the U.S. – India tariff situation remains precarious, the possibility of an incoming hike in tariff rates saw India threaten the WTO with retaliatory tariffs against the U.S., which only means further instability for India's economy.

*Busy Monsoon?*

Notwithstanding, there remains some respite for Alang recyclers as a constricted number of available buyers in Chattogram coupled with the tense army situation in Pakistan has left India a far safer alternative for incoming vessels and departing international crew. Indian recyclers also remain more active at the bidding tables than their Paksitani counterparts, further shrinking any price competitive advantage India may have lost over recent weeks.

Unlike its counterparts, India may have a far busier monsoon in comparison.

**NO MARKET SALES REPORTED**

# PAKISTAN

## MISSING A TRICK!

*Minimal deals.*

Pakistan has had an opportunity to acquire India's share of vessels over the last few weeks as Bangladesh deliveries and fixtures have been stranded on account of the ongoing NOC restrictions and India has likewise suffered with declining sentiments and prices due to tariff confusions and volatility in its fundamentals. The Hong Kong Convention also does not come into force until June 26th so there remains a small window of opportunity for Gadani buyers to make the most out of the present and purchase a majority of the available tonnage before the landscape entirely changes.

*Lagging on HKC.*

However, it remains the same mix of excuses and confusion emanating from Pakistani recyclers as they unexpectedly find themselves higher up in the market rankings all while no positive changes to Pakistani fundamentals have been reported while the Indian Rupee continues to yoyo against the U.S. Dollar. Confusion over Alang's recent diminished vessel offerings has also left Gadani buyer's perplexed as to whether to maintain their currently higher pricing, or re-adjust down to match those from India.

And Pakistani fundamentals have all the tell tale signs behind why lower offers from Gadani in the near future are more than likely. Not only are local plate prices now within arm's length of Bangladeshi plate prices as they drop to USD 610/Ton (vs. the impressive jump to USD 577/ton in Bangladesh) and remain flatlined, but the Paksitani Rupee also depreciated 32 basis points and closed the week out at a whopping PKR 282.12.

*Excuses reign.*

Economically as well, the nation continues to hemorrhage cash as despite incoming IMF funds to support the economy, national exports during the month of April plummeted an extravagant 17.65%, further afflicting the nation's ability to recover on its own accord. The lingering conflict with India has also seen the army impose restrictions and movements along the Eastern front, in addition to the longstanding conflict in Balochistan where Baloch rebels hammered a Pakistani army convoy with IEDs killing several army personnel resulting in further blockades and closures.

*Far behind.*

The resulting uncertainty has left Pakistan suspended in the present times, accounting for the lack of any (market or private) deals to Gadani recyclers as a result. Highlighting the tonnage drought has been Gadani's waterfront that has now ended a month with no arrivals. While all local yards desperately need to initiate infrastructure upgrades to their facilities so as to continue operating in a post HKC world, regrettably, not a single yard in Pakistan is anywhere near attaining these standards and remain far behind the competition at this stage.

**NO MARKET SALES REPORTED**

# TURKEY

## DOWN…AGAIN!

*Repeat.*

Aliaga recyclers continue to face unrelenting pressure from their fundamentals given that not only have local steel plate prices made a marginal USD 10/MT improvement over the last couple of weeks (having plummeted over weeks prior), but the Lira too has fallen another 30 basis points to end the week at TRY 38.80 against the U.S. Dollar, a whiff away from TRY 39. Market supply remains abysmal and there has been no meaningful delivery of units into Turkey for much of this year - sand it's likely to be another repeat of 2024 all over again.

**NO MARKET SALES REPORTED**

# GMS Weekly – Market Rankings

***For Week 20 of 2025, GMS Market Rankings / vessel indications are as below.***

| Rank | Location | Sentiment | Dry Bulk USD / LDT | Tankers USD / LDT | Containers USD / LDT |
|---|---|---|---|---|---|
| **1** | Bangladesh | **Weak** | 450 / LDT | 470 / LDT | 480 / LDT |
| **2** | Pakistan | **Weak** | 440 / LDT | 460 / LDT | 470 / LDT |
| **3** | India | **Weak** | 430 / LDT | 450 / LDT | 460 / LDT |
| **4** | Turkey | **Weak** | 250 / LDT | 260 / LDT | 270 / LDT |

# WEIRD ONES!!

- *The human body glows in the dark. No, seriously. It emits visible light at all times, but our eyes are too weak to see it. So yeah, you're glowing right now, but no one can appreciate it.*
- *It took a long time for the Giant Tortoise to be scientifically recognized because to be catalogued, a sample had to reach London. Turtles turn out to be really, really good to eat.*
- *Your skin doesn't have receptors to let you know if it's wet or not. This is why those sensory deprivation tanks have you floating in it. When the water is warm enough, your skin stops sensing the 'wetness' and you just feel like you're floating in the air.*
- *That butterflies retain memories from their larval (caterpillar) form. So while it is all goo in the pupa form, something is keeping some memories intact.*
- *If there are 23 people in a room, the probability that two people have the same birthday is over 50%.*
- *There's a thing called the Royal Order of Adjectives. This rule dictates the specific order in which adjectives should be arranged in a sentence, and native speakers follow it instinctively without being taught.*
- *If you look at pictures of sick people, your immune system will automatically give itself a little boost just by looking at the pictures.*

# IMPORTANT DATES

| INDIA | |
|---|---|
| **BANK HOLIDAYS** | **DELIVERY TIDES** |
| June 07 – Bakri-Eid | May 11 – May 17<br>May 24 – June 01 |

| BANGLADESH | |
|---|---|
| **BANK HOLIDAYS** | **DELIVERY TIDES** |
| May 11 – Buddha Purnima<br>June 07 - 12 – Eid-ul-Azha | May 11 – May 14<br>May 26 – May 29 |

| BANK HOLIDAYS | | |
|---|---|---|
| **CHINA** | **PAKISTAN** | **TURKEY** |
| May 31 – June 02 – Dragon Boat Holiday | June 05 – Day or Arafah<br>June 06 - 09 – Eid-ul-Azha | May 19 Youth & Sports Day<br>June 05 – 09 – Kurban Bayrami |

Prices indicated above are as reported in the market and are not necessarily accurate. This information is provided without prejudice and is given in good faith and without any guarantees whatsoever. While every care has been taken in the preparation of this report, no liability can be accepted for any loss incurred in any way whatsoever by any person relying on the information contained herein. Opinions expressed herein may be deemed subjective and arbitrary. This WEEKLY is intended only for the person or entity to which it is addressed and may contain confidential and/or privileged material. Any review, retransmission, dissemination, or other use of this information by persons or entities other than the intended recipient is prohibited.

## ALANG - Port Position as of May 16, 2025

| No. | VESSEL NAME | LDT | TYPE | STATUS |
|---|---|---|---|---|
| 1 | Lord 17 | 2,583 | General Cargo | Arrived May 11 |
| 2 | Nirvana | 9,623 | Oil Tanker | Arrived May 07 |
| *3* | *Right* | *11,781* | *Passenger* | *Delivered May 15* |
| *5* | *Run Fu 6* | *6,258* | *Bulk Carrier* | *Delivered May 14* |
| *6* | *Ulsan* | *2,422* | *Container* | *Delivered May 16* |
| **Total Tonnage** | | **32,667** | | |

## CHATTOGRAM - Port Position as of May 16, 2025

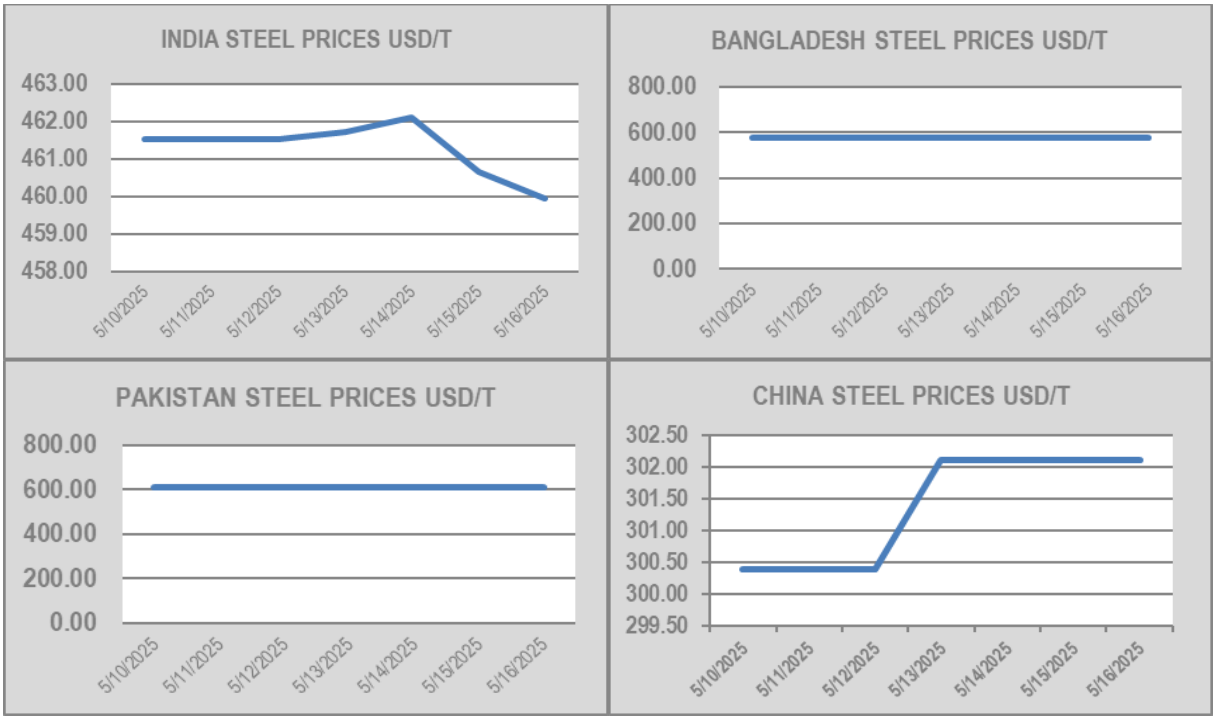
| No. | VESSEL NAME | LDT | TYPE | STATUS |
|---|---|---|---|---|
| *1* | *Charlene* | *6,071* | *Bulk Carrier* | *Delivered May 12* |
| *2* | *EM Unity* | *15,672* | *Tanker* | *Delivered May 14* |
| 3 | First 1 | 7,951 | Woodchip Carrier | Arrived May 15 |
| *4* | *Hu Gang Yin 2* | *4,351* | *Offshore Support Vessel* | *Delivered May 13* |
| *5* | *Linden* | *2,216* | *Container* | *Delivered May 12* |
| 6 | Vistar | 10,683 | Bulk Carrier | Arrived May 13 |
| *7* | *Woods* | *9,462* | *General Cargo* | *Delivered May 15* |
| 8 | Xie Hai | 10,346 | Bulk Carrier | Arrived May 14 |
| | | **66,753** | | |

## GADANI - Port Position as of May 16, 2025

| No. | VESSEL NAME | LDT | TYPE | STATUS |
|---|---|---|---|---|
| | | **No new vessels reported** | | |
| **Total Tonnage** | | **-** | | |

WHILE EXTREME CARE HAS BEEN TAKEN IN THE PREPARATION OF THIS REPORT, NO LIABILITY CAN BE ACCEPTED FOR ANY LOSS INCURRED IN ANY WAY WHATSOEVER BY ANY PERSON RELYING ON THE INFORMATION CONTAINED HEREIN.

| DATE | INDIA STEEL PRICES USD/T | INDIA STEEL PRICES | PAKISTAN STEEL PRICES USD/T | PAKISTAN STEEL PRICES | BANGLADESH STEEL PRICES USD/T | BANGLADESH STEEL PRICES | CHINA STEEL PRICES USD/T |
|---|---|---|---|---|---|---|---|
| 5/10/2025 | 461.52 | 39,400.00 | 610.58 | 172,000.00 | 577.56 | 70,000.00 | 300.39 |
| 5/11/2025 | 461.52 | 39,400.00 | 610.58 | 172,000.00 | 577.56 | 70,000.00 | 300.39 |
| 5/12/2025 | 461.52 | 39,400.00 | 610.58 | 172,000.00 | 577.56 | 70,000.00 | 300.39 |
| 5/13/2025 | 461.74 | 39,400.00 | 610.58 | 172,000.00 | 577.56 | 70,000.00 | 302.12 |
| 5/14/2025 | 462.12 | 39,400.00 | 610.58 | 172,000.00 | 577.56 | 70,000.00 | 302.12 |
| 5/15/2025 | 460.66 | 39,400.00 | 610.58 | 172,000.00 | 577.56 | 70,000.00 | 302.12 |
| 5/16/2025 | 459.96 | 39,400.00 | 610.58 | 172,000.00 | 577.56 | 70,000.00 | 302.12 |




www.gmsinc.net GMS_Leadership GMS Leadership snp@gmsinc.net

**Athens**, Greece Tel: +30.210.899.0669
**Cumberland**, USA Tel: +1.301.759.9240
**Hamburg**, Germany Tel: +49.40. 3197.9963
**Shanghai**, China Tel: +86.216.075.1900
**Singapore** Tel: +65.6823.8037
**Bhavnagar**, India Tel: +91.278.300.5253
**Dubai**, UAE Tel: +971.4.423.0720
**New York**, USA: +1.240.505.9716
**Seoul**, South Korea Tel: +82.10.4650.0720
**Tokyo**, Japan Tel: +81.3.5453.6311